

Phase 1: Deposit

During this step:

- Customer wants to make a deposit using crypto
- Host wants to send a wallet address to customer

Customer might be in two states:

- New customer (Doesn't have gaming profile)
- New customer (has KYC check)
- Existing (Has gaming profile)

For New customer:

1. Request to pass KYC: Send passport photo and residential address
2. Remote account creation?

For Existing customer:

3. Host communicates to the customer and defines:
 - a. Crypto customer wants to use
 - b. Network customers want to use (e.g. USDT (TRC-20) or USDT (TON))
4. Host either:
 - a. Finds customer in Frax (see note below) with Host Login to Frax Platform using Okta SSO
 - b. Creates a record with some data about customer
 - c. Use external system, which creates a record in Frax with ID linked to external system
5. Host generates either:
 - a. Link with Wallet address inside (+ potential exchange quote, so customer can calculate amount of money he will receive after conversion) or without address with ability for the customer to generate wallet address
 - b. Wallet address (MVP)
6. Host sends link/wallet address to the customer either:
 - a. By copy/paste process
 - b. System notification (host can't see neither link nor wallet address) or host can see link, but address will be generated after customer action (e.g. OTP or PIN)
7. Customer copies wallet address and sends funds to it:

Open questions:

1. Supported Crypto and Networks (BTC/ETH and USDC (ERC-20), USDT (TRC-20) Frax? other)
2. Wallet address generation method: Link with open address / Address / Link without address (address generated by the customer)
3. Do we need to show Broker's quote, so if a customer uses non-stable coins, he will see deposit amount?
4. Wallet address delivery method: host copy/paste or system notification (host doesn't see the address), log is active
5. Generated Wallet by Frax system - is it Wynn wallet or Frax Wallet (owner)?
 - a. If Wynn then for Broker customer is Wynn and Wynn is responsible for KYC, but no need to provide it to Broker or Custodian Wallet Provider
 - b. If Frax then KYC data should be passed to Frax and then to Broker (see NOTE below)
6. The process for new customer needs to be defined. What is minimal data required: KYC check or full gaming account?

NOTE: According to UAE rules, customer gaming data can't leave UAE. Frax is hosted outside, so if (b), then a decision needs to be made on what data can be handed over to Frax.

Phase 2: On-Chain Analysis & Funds Routing

During this step, funds sent by the customer to the generated wallet address undergo compliance screening and are routed to the appropriate conversion or settlement path.

Process:

1. Funds arrive at the generated wallet address and are detected on-chain
2. Compliance & Risk Engine performs on-chain analysis
3. **Funds Clear:** Funds pass compliance screening and are forwarded to the Prime Broker for processing
4. **Funds Dirty:** Funds fail compliance screening and are returned to sender. The wallet address used must be regenerated for the next transaction
5. If funds are clear, routing depends on the asset type:
 - a. **BTC / ETH / Other non-stable coins:** Sent to Prime Broker to obtain an exchange quote and convert to a Stable Coin (the same as WTA)
 - b. **Stable Coins (USDC, USDT, FRAX, etc.):** If different from Wynn Treasury Wallet stable, sent to Prime Broker for a zero-commission swap. If the same stable, sent directly to the Wynn Treasury Account (WTA)

Open questions:

1. Which compliance and on-chain analysis engine is used?
2. What is the process to notify the customer and host in case funds are flagged as dirty?

Phase 3: Prime Broker - Conversion & Quote

During this step, clear funds that require conversion are sent to the Prime Broker. The broker provides an exchange quote and executes the conversion to the target stable coin.

Process:

1. Prime Broker receives the funds and generates an exchange quote
2. Quote type is determined:
 - a. Credit quote – the best quote but non-traded will cause a fee
 - b. Regular quote – good quote, non-traded will cause no fee (@Max check me here)
3. Broker executes the conversion and generates the converted stable coin amount
4. For Stable Coin swaps: a zero-commission swap is performed between Prime Broker and Frax
5. Converted stable coins are sent to the Wynn Treasury Account (WTA)

Open questions:

1. Which Prime Broker(s) will be used?
2. What quote type (credit vs. regular) will be the default?
3. Is the Zero Swap applicable to all stable coin pairs or only specific ones?
4. What customer data, if any, need to be shared with the Broker for KYC/AML purposes?
Relates to question who owner of generated wallets is (who is counterparty of prime broker)

Phase 4: Wynn Treasury Account (WTA)

During this step, converted stable coins arrive at the Wynn Treasury Account (WTA). The WTA acts as the central settlement hub managed by the Custodian Wallet Provider (BitGo or equivalent).

Process:

1. Converted stable coins land in the Wynn Treasury Account (WTA)
2. WTA is managed by the Custodian Wallet Provider (e.g., BitGo, Fireblocks, Stripe) and connected to:
3. Funds in the WTA can be:
4. Wired to a Bank - routed to Finance to define the banking process
5. Held in WTA for direct payout in stable coin
6. Routed via Frax Routing for payout processing (see Phase 5)

Open questions:

1. Who is the Custodian Wallet Provider?
2. Wire to bank finance process?

Phase 5: Payouts

During this step, customer winnings or withdrawal requests are processed. Payouts can be made in stable coins directly from the WTA or in the original crypto via a Broker.

Process:

1. A payout event is triggered
2. Frax Routing determines the payout path based on the payout type and customer preference:
 - a. **WTA Stable Coin payout:** Funds are sent directly from WTA to the customer's wallet address
 - b. **Coin payout (BTC, ETH, etc.):** Funds are routed from WTA to a Broker, who converts stable coin back to the requested crypto and sends it to the customer's wallet
 - c. **Non WTA Stable Coin payout** - Funds are routed from WTA to a Broker, who converts stable coin back to the requested crypto and sends it to the customer's wallet
3. Customer receives the payout in the agreed crypto or stable coin to their personal wallet

Open questions:

1. Is the payout always in the same crypto/stable as the original deposit, or can the customer choose a different asset?
2. Is the payout address should be always the same as buy in address?
3. If 2 is no: What is the process for collecting the customer's wallet address at payout time if it was not captured at deposit?
4. Detailed process of payout, who and how?
5. Win/Loss cases? How do we pay if a customer wins? What if WTA doesn't have enough to pay full crypto?